Risk Parity Portfolio: Executive Commentary

Analysis results for the 10-year window as of 2026-05-15

Executive Summary

Risk Parity Portfolio was reviewed on the latest available reporting window. CAGR is 7.40%, annualized volatility is 7.50%, maximum drawdown is -18.90%, Sharpe is 0.698, Sortino is 0.976, and market sensitivity is 0.268. Stress diagnostics show: Passed with diagnostic warning; worst scenario loss is -13.41%.

Key Metrics

7.40% CAGR	**7.50%** Volatility	**-18.90%** Max Drawdown
0.698 Sharpe	**0.976** Sortino	**0.268** Market Sensitivity

What This Means

The portfolio profile should be read as a trade-off between return, realized drawdown, and market sensitivity. CAGR measures compound annual growth, volatility measures annualized variability, and maximum drawdown captures the largest peak-to-trough loss in the reporting window. Sharpe and Sortino summarize risk-adjusted return, while market sensitivity indicates how strongly the portfolio moves with the broad benchmark.

Risk Structure

Stress status: Passed with diagnostic warning. Worst scenario loss: -13.41%. Flagged scenario: N/A; flagged test: N/A. These diagnostics are used to identify risk concentrations and scenario vulnerability; they do not by themselves replace the mandate checks.

Scenario Analysis

Scenario	PnL	Pass	Top RC Asset	Top 3 RC
equity_shock	-10.87%	True	GLD	45.51%
credit_shock	-1.74%	True	TLT	40.65%

Scenario	PnL	Pass	Top RC Asset	Top 3 RC
rates_shock	-10.16%	True	TLT	48.91%
inflation_stagflation	-7.85%	True	GLD	47.35%
liquidity_shock	-6.06%	True	SCHD	44.09%
recession_severe	-13.41%	True	SCHD	43.42%

Conclusion

This English PDF was generated from the current structured portfolio outputs. Use the metrics, stress status, and scenario table together: the headline return profile is only meaningful when read alongside drawdown resilience and scenario behavior.